

24NNCV00267 24NNCV00267

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[TENTATIVE] ORDER DENYING DEFENDANTS AND CROSS-COMPLAINANTS W&B AND HUI'S MOTION TO BIFURCATE

I. INTRODUCTION

Plaintiff Milano Realty, LLC ("Plaintiff") brings this action against Defendants W&B Investment Group, LLC and Vincent Hung Shing Hui (collectively, "Defendants") arising out of a dispute concerning the sale of real property located at 12138 Valley Boulevard in El Monte, California. Plaintiff alleges Defendants breached the parties' purchase agreement by failing to convey title to one of the property's two parcels, resulting in delays in refinancing and additional interest, fees, and other damages. Defendants filed a cross-complaint asserting claims for, among other things, breach of contract, negligence, indemnification, and constructive fraud.

On April 27, 2026, Defendants filed the instant motion to bifurcate trial pursuant to Code of Civil Procedure section 598. Plaintiff filed an opposition on June 29, 2026, and Defendants filed a reply on July 7, 2026.

Request for judicial notice

Defendants request judicial notice of eleven exhibits (A-K) consisting of California Secretary of State records, California Department of Real Estate records, a fictitious business name statement recorded with the Los Angeles County Registrar-Recorder/County Clerk and recorded corrective grant deed.

The request is GRANTED pursuant to Evidence Code sections 452, subdivisions (c) and (h), and 453.

II. LEGAL STANDARD

Civ. Proc. Code §598, permits a court to bifurcate a trial as to the issues of liability and damages when the ends of justice and the pursuit of judicial economy is best served.

"The court may, when the convenience of witnesses, the ends of justice, or the economy and efficiency of handling the litigation would be promoted thereby, on motion of a party, after notice and hearing, make an order, no later than the close of pretrial conference in cases in which such pretrial conference is to be held, or, in other cases, no later than 30 days before the trial date, that the trial of any issue or any part thereof shall precede the trial of any other issue or any party thereof in the case . . ." (CCP § 598.) Where trial of the issue of liability as to all causes of action

precedes the trial of other issues or parts thereof and the decision of the court or jury is in favor of the allegedly liable party, judgment in favor of that party shall be entered and no trial of other issues in the action against that party will be had. (Ibid.) If the decision of the court or jury on the issue of liability is against the party allegedly liable, the trial of the other issues shall be had before the same or another jury as ordered by the court. (Ibid.)

III. ANALYSIS

Defendants move pursuant to Code of Civil Procedure section 598 for an order bifurcating trial so that the following threshold issues are tried before liability, causation, and damages: (1) whether Plaintiff Milano Realty, LLC is the real party in interest; (2) whether the conduct, transactions, and alleged injuries attributed to "Milano Realty" are properly attributable to Plaintiff, as opposed to another entity or non-party; (3) whether Plaintiff possessed the legal capacity to sue during the periods relevant to its claims; and (4) the legal effect of Plaintiff's prior suspension on its ability to accrue and recover damages. The Court finds bifurcation is not warranted.

Bifurcation would not promote judicial economy because the proposed threshold issues substantially overlap with the merits

Code of Civil Procedure section 598 authorizes bifurcation where doing so would promote the convenience of witnesses, the ends of justice, or the economy and efficiency of handling the litigation. Here, Defendants have not demonstrated that bifurcation would achieve those purposes.

Defendants seek to try first whether Plaintiff is the real party in interest, whether the conduct and alleged injuries are attributable to Plaintiff rather than another entity, whether Plaintiff had the legal capacity to sue during relevant periods, and the legal effect of Plaintiff's suspension on its ability to recover damages. (Motion, p. 2.) Although Defendants characterize these as threshold legal issues, resolution of each would require the Court to consider many of the same documents, witnesses, and factual issues that bear on Plaintiff's substantive claims.

For example, determining whether Milano Realty, LLC is the proper party necessarily requires examination of the purchase transaction, escrow documents, loan documents, communications between the parties, and the payments Plaintiff allegedly made—all evidence that will also be presented in connection with liability and damages. Likewise, determining the effect of Plaintiff's suspension on its claimed damages requires the Court to determine when those damages accrued and whether they were caused by Defendants' alleged conduct, issues that overlap substantially with Plaintiff's breach of contract and damages theories.

Based on this, bifurcation would not eliminate the need to present this evidence. Instead, it would require much of the same evidence to be presented in two separate phases of trial, increasing rather than reducing the expenditure of judicial and party resources. Under these circumstances, the Court finds that bifurcation would not promote the economy and efficiency contemplated by Code of Civil Procedure section 598.

The Court's May 1, 2026 - summary judgment ruling weighs against bifurcation

The Court's prior summary judgment ruling further weighs against bifurcation. In ruling on Plaintiff's motion for summary judgment, the Court considered Defendants' arguments that Plaintiff lacked standing because another entity, CCL Financial Services, Inc., allegedly conducted business under the name "Milano Realty," and that Plaintiff's prior suspension affected its ability to recover. The Court concluded that Defendants' evidence did not establish that Plaintiff lacked standing, explaining that "[t]he existence of another entity claiming to use Milano Realty as a business alias does not defeat Plaintiff's standing to prosecute a suit in its own name." (May 1, 2026, Minute Order, pp. 4-5.) The Court also concluded that *Peacock Hill Assn. v. Peacock Lagoon Constr. Co.* (1972) 8 Cal.3d 369 did not support Defendants' suspension argument because it concerns a suspended corporation's ability to prosecute an action, and any suspension would warrant, at most, abatement until the suspension was cured. (Id. at pp. 5-6.)

Although the Court's prior ruling did not decide whether bifurcation is appropriate under Code of Civil Procedure section 598, it reflects that the issues Defendants seek to bifurcate are intertwined with the factual record and the merits of Plaintiff's claims, rather than discrete threshold issues capable of efficient resolution. Defendants have not shown that bifurcation would materially narrow the issues for trial or avoid the presentation of substantially overlapping evidence.

Based on the foregoing, the Court DENIES Defendants' motion to bifurcate trial.

IV. ORDER

The Court DENIES Defendants motion to bifurcate trial.

Defendants are to give notice.

Dated: July 14, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT